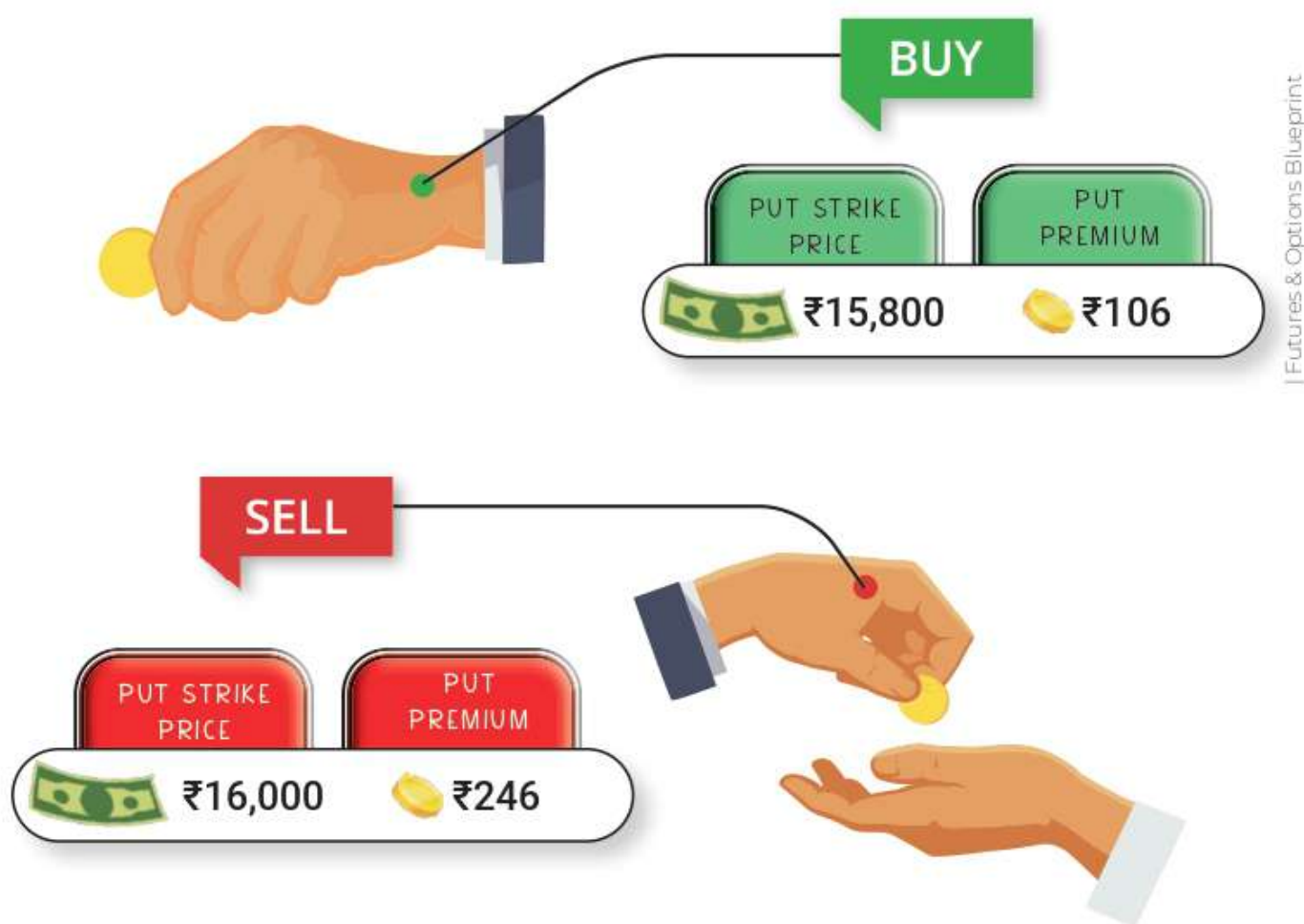


For instance, we buy a put option at ₹15,800 at a premium of ₹106 and we sell another put option at ₹16,000 at a premium of ₹246.



PREMIUM COLLECTED FROM THIS STRATEGY = ₹246 – ₹106 = ₹140
THIS IS OUR NET PROFIT IN THIS STRATEGY.

MAXIMUM PROFIT = Net premium
= ₹140

BREAK EVEN POINT = Strike price of short put – Net premium
= ₹16,000 – ₹140 = ₹15,860

MAXIMUM LOSS = Difference in Strike prices - Net Premium
= (₹16,000 – ₹15,800) – ₹140 = ₹60

If the price is above ₹16,000 or at ₹16,000, we will have profits. And if the prices go below ₹15,860, we will start incurring losses. But our losses will also be capped.